

Written Reflection – Innovation Marketing Simulation: Crossing the Chasm

In this simulation, I played the CEO of Conveyance, a start-up selling software and ancillary products for self-driving vehicles. In Year 1, before the “chasm” phase, I kept marketing broadly to the general Gallium Glen tech community, choosing viral videos, celebrity events, and media coverage. Although this brought in about \$1 million, investors were dissatisfied because the market share remained small and the growth was not “exponential.” My subsequent choices were greatly impacted by that pressure to develop rapidly.

For Years 2–4, I was supposed to pick a beachhead, but instead I initially tried to serve three segments at once: Local Delivery – Courier Services, Personal Vehicles – Dealership Subscription Vehicles, and Rentals – Car Rental. I chose them because they were large bubbles on the opportunity map and seemed related, so I thought spreading across them would diversify revenue and accelerate growth. I allocated the \$4M budget fairly evenly across hardware, software integration, training, and maintenance in all three segments, partnered with car manufacturers, application designers, and service providers, and relied on direct sales plus authorized dealers with mainly value-based pricing. The trade-off was clear in hindsight: every segment received a “medium” level of investment, but none got a truly compelling, low-risk whole product.

The results showed that I never crossed the chasm. Even by Year 4, my best segment share was only about 3% in Dealership Subscription Vehicles and 2.4% category market share, far from the 30% threshold. After Year 2, the feedback that we were “spreading ourselves too thin” and that customers wanted proven use cases led me to shift more budget toward the personal vehicles and rentals segments and to experiment with pricing (using cost-plus for rentals and later premium pricing for personal vehicles). After Year 3, investors warned that it was “sink or swim time,” and customers again said they did not feel they were getting “the whole package.” In Year 4, I finally dropped the courier segment and heavily funded the whole product for Dealership Subscription Vehicles (more hardware, integration, training, and maintenance), which improved the star rating in that segment and created a big jump in revenue—yet adoption was still limited. The repeated low market share, one-to-two-star whole-product ratings, and customer quotes asking for reference clients and full implementations were clear signals that I was stuck in the chasm.

The experience made the difference between early adopters and pragmatists very concrete. Early visionary customers in the background story (such as innovative trucking firms) were excited by the futuristic vision and were willing to live with bugs and an incomplete offer. In contrast, the mainstream pragmatist segments in the simulation wanted reliability, risk reduction, training, maintenance, and proof that others “like them” had already succeeded. My attempts to chase multiple segments felt natural as a manager—ignoring big bubbles on the map seems irresponsible when investors demand growth—but the simulation showed that this intuition is wrong for disruptive innovations. Without concentrating on one niche and delivering a complete solution for that niche, word-of-mouth never takes off, and the bowling-pin effect never starts.

My main takeaways are: (1) choosing a narrow beachhead is not a luxury but a necessity to cross the chasm; (2) the whole product—integration, support, maintenance, and reference customers—matters more to pragmatists than the core technology itself; and (3) early revenue from visionary deals can hide the fact that market share in the target segment is still extremely small. High-end VR/AR headsets like Apple Vision Pro and Meta Quest are currently experiencing

a similar gap. While tech enthusiasts adore the experience, the majority of mainstream consumers are still holding off on committing until there are more compelling "whole product" ecosystems of apps, support, and content, as well as clearer everyday use cases and lower risk.